SUPPLEMENTAL DECLARATION OF COVENANTS AND RESTRICTIONS FOR AN ON-SITE SEWERAGE SYSTEM

WHEREAS, Declarant is the owner of certain real property in the County of Pierce, State of Washington, which is more particularly described on Exhibit A attached hereto and incorporated herein by this reference; and

WHEREAS, Declarant has created or shall create for the Lots (as defined in subsection 1.7) within the Properties (as defined in subsection 1.6), a community on-site sewerage system to serve said Properties and has or will incorporate under the laws of the State of Washington, a non-profit corporation, to be known as SPRINGFIELD WASTE MANAGEMENT ASSOCIATION for the purpose of operating and managing said system and for such other purposes and under the provisions of WAC 248-96;

NOW, THEREFORE, Declarant hereby declares that the Lots shall be held, sold and conveyed subject to these easements, covenants, conditions, restrictions, charges, assessments and liens which are for the benefit and necessity of the Lots. This Declaration shall run with the real property and shall be binding on all parties having or acquiring any right, title or interest, including possessory, in the described property or any part thereof, and shall inure to the benefit of the Declarant and each Resident and Owner thereof.

ARTICLE I
DEFINITIONS

1.1 "Association" shall mean and refer to "Springfield Waste Management Association", its successors and assigns.

1.2 "Board of Directors" shall mean and refer to the Board of Directors of Springfield Waste Management Association, its successors and assigns.

1.3 "Declarant" shall mean and refer to Heath Investments, Inc., its successors and assigns, and Heller Financial, Inc., formerly known as Walter E. Heller & Company.

1.4 "Owner" shall mean and refer to the record owner, whether one or more persons or entities, of a fee simple title to any Lot which is a part of the properties.

1.5 "Resident" shall mean and refer to the person(s) in actual physical occupancy of a house for the purpose of using such house for his/her usual place of abode. This term is to be differentiated from any person who has the naked right of possession of such house.

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1.6 "Properties" shall mean and refer to that certain real property hereinbefore described, and such additions thereto as may hereafter be brought within the jurisdiction of the Association.

1.7 "Lot" shall mean and refer to the individual Lots described in the attached Exhibit A, and such other portions of real property as may hereafter be made subject to the provisions of this Declaration. It is anticipated that the community on-site sewerage system shall be expanded and that numerous other lots within the Springfield Development shall be added to the system pursuant to the terms herein.

1.8 "Declaration" shall mean and refer to this instrument and any future amendments and declarations.

ARTICLE II
MEMBERSHIP AND VOTING RIGHTS

2.1 Every Owner of a Lot which is subject to assessment by the Association shall be a member of the Association. These will be the Owners of every Lot, as defined herein, which is served by the on-site sewerage system. Membership shall be appurtenant to and may not be separated from ownership of any Lot which is subject to assessment.

2.2 The Association shall have one class of voting membership. Each member shall be entitled to one (1) vote for each Lot owned. When more than one (1) person or entity holds an interest in any Lot, all such persons or entities shall be members. The vote for such Lot shall be exercised as they determine, but in no event shall more than one (1) vote be cast with respect to any Lot.

ARTICLE III
ASSESSMENTS

3.1 Creation of Lien and Personal Obligation of Assessments. The Declarant for each of the Lots hereby covenants, and each Owner of any of these Lots by acceptance of a Contract or Deed therefor, whether or not it shall be so expressed in such Contract or Deed, is deemed to covenant and agree to pay the Association:

(a) Standard maintenance and operation fees;

(b) Fees for repairs, replacements, emergency work or modifications to the sewerage system; and

(c) Fees for capital improvements and for an emergency fund.

The above fees and assessments, together with interest, costs and reasonable attorneys' fees, shall be a charge on each of the Lots

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encumbered by this Declaration and shall be a continuing lien upon the Lot against which each such assessment or fee is made. Each such assessment, together with interest, costs and reasonable attorneys' fees, shall also be the personal obligation of the person who was the owner of such Lot at the time when the assessment fell due.

3.2 Purpose of Fees and Assessments. The fees and assessments levied by the Association shall be used exclusively for the sewerage service and maintenance, repair and capital improvement of the system and for such other purposes as the Association may determine.

3.3 Maximum Annual Assessment. Until September 30, 1986 the maximum annual assessment levied shall be $ 10^{00} which shall be payable by single family residences on individually owned Lots at a monthly, semi-annual or annual basis as determined by the Board of Directors.

(a) From and after September 30, 1986, the maximum annual assessment may be increased each year not more than twenty percent (20%) above the maximum permissible assessment for the previous year without a vote of the membership.

(b) From and after September 30, 1986, the maximum annual assessment may be increased above twenty percent (20%) by a vote of two-thirds (2/3) of the members who are voting in person or by proxy, at a meeting duly called for this purpose.

(c) The Board of Directors may fix the annual assessment at an amount not in excess of the maximum permissible.

3.4 Special Assessments for Repairs, Improvements, Maintenance and Emergency Fund.

In addition to the annual assessments authorized above, the Association may levy, in any year, a special assessment or assessments applicable to that year for the purpose of defraying, in whole or in part, the cost of any construction, reconstruction, repair, maintenance or replacement of a capital improvement of the sewerage system or for the purpose of setting up an emergency fund, provided that any such assessment shall have the assent of two-thirds (2/3) of the votes of members who are voting in person or by proxy at a meeting duly called for this purpose.

3.5 Notice and Quorum for Any Action Authorized Under 3.3 and 3.4.

Written notice of any meeting called for the purpose of taking any action authorized under subsections 3.3 and 3.4 above shall be sent to all Owners not less than fifteen (15) days nor more than thirty (30) days in advance of the meeting. At the first such

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meeting called, the presence of Owners or proxies entitled to cast fifty percent (50%) of all the votes of membership shall constitute a quorum. If the required quorum is not present, another meeting may be called subject to the same notice requirement, and the required quorum at the subsequent meeting shall be one-half (1/2) of the required quorum at the preceding meeting. No such subsequent meetings shall be held more than thirty (30) days following the preceding meeting.

3.6 Date of Commencement of Annual Assessments: Due Dates. The annual assessments provided for herein shall commence as to each Lot upon such Lot being actually hooked up to the sewerage system. The first annual assessment shall be adjusted and prorated according to the number of months remaining in the calendar year. The Board of Directors shall fix the amount of the annual assessment against each Lot at least thirty (30) days in advance of each annual assessment period. Written notice of the annual assessment shall be sent to every Owner subject thereto. The due dates shall be established by the Board of Directors. The Association shall, upon demand and for a reasonable charge, furnish a certificate signed by an officer of the Association setting forth whether the assessments on a specified Lot have been paid. A properly executed certificate of the Association as to the status of the assessments on a Lot is binding upon the Association as of the date of its issuance.

3.7 Effect of Nonpayment of Assessments: Remedies of the Association.

Any assessment not paid within thirty (30) days of the due date shall bear interest from the due date at the rate of twelve percent (12%) per annum. The Association may bring an action at law against the Owner personally obligated to pay the same, or foreclose the lien against the property. No Owner may waive or otherwise escape liability for the assessments provided for herein by abandonment of his Lot.

3.8 Subordination of the Lien to Mortgages. The lien of assessments provided for herein shall be subordinate to the lien of any first mortgage. Sale or transfer of any Lot shall not affect the assessment lien. The sale or transfer of any Lot pursuant to mortgage foreclosure or any proceeding in lieu thereof, shall not extinguish the lien of such assessment as to payments which became due prior to such sale or transfer. No sale or transfer shall relieve such Lot from liability for any assessments thereafter becoming due or from the lien thereof.

ARTICLE IV
GENERAL PROVISIONS

4.1 Amendments. Provisions of this Declaration can be amended, waived, abandoned, terminated, repealed or modified in

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whole or in part by an instrument executed by the Owners of not less than seventy-five percent (75%) of the Lots subject to this Declaration, provided that any such instrument of amendment or repeal must be duly recorded, and shall not be effective in any manner or against any person including Owners, until the date and time of recording, and provided further that any such instrument of amendment or repeal shall be effective to the extent the provisions are in accordance with WAC 248-96 and applicable rules and regulations of the Tacoma/Pierce County Health Department.

4.2 Duration of Covenants and Restrictions. The provisions of this Declaration and amendments thereto shall run with and bind the land, until the dwelling units located on the Lots served by the on-site sewerage system have been connected to a public sewerage disposal system.

4.3 Construction; Severability; Number; Captions. The provisions of this Declaration shall be liberally construed as an entire document to accomplish the broad purposes set forth herein. Nevertheless each provision of same shall be deemed independent and severable, and the invalidity or partial invalidity of any provision shall not affect the validity or enforceability of the remaining part of that or any other provision, which shall remain in full force and effect at all times. As used herein, and as the context requires, the singular shall include the plural and the plural and singular, and the masculine and neuter shall each include the masculine, feminine and neuter. All captions are intended solely for convenience of reference and shall in no way limit any of the provisions of this Declaration.

4.4 Notices and Other Documents; Time Periods. Any notice or other documents permitted or required by the Delaration shall be delivered either personally or by mail. Delivery by mail shall be deemed made three (3) days after having been deposited as certified or registered mail in the United States mail, with postage prepaid. For the purpose of calculating the three (3) day period, the date of deposit shall not be counted; the date following deposit shall be day one. If the addressee is the Association or Board of Directors, such mailing shall be with most recent address specified by an instrument duly executed and duly recorded. If the addressee is any other person or entity, including the Declarant, Owner or Resident, it shall be to that person/entity at his last known address according to the records of the Association; the address of a party may be changed by him at any time by notice in writing delivered to the Association as provided herein.

4.5 Enforcement. The Association, Board of Directors, Declarant, any Resident and any Owner shall have the right to enforce, by any proceeding at law, or in equity, all provisions of the Declaration. Failure by any such party to enforce any provision shall in no event or way be deemed a waiver of the right to do so thereafter.

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4.6 Liability. Neither the Declarant, the Association, the Board of Directors, nor any Owner or designated representative of the forementioned shall be liable to any other person or entity for any damage, loss or prejudice suffered or claimed on account of any action or failure to act by said persons/entities, provided that they have, in accordance with actual knowledge possessed by them, acted in good faith. The burden is on the individual Owners or Residents to act if the foresaid fails to act or takes action differently than such owner or resident would have chosen.

4.7 Successors in Interest. Unless and until amended, changed, revoked, terminated, waived or repealed, the provisions of this Declaration and amendments shall remain in full force and effect as covenants, conditions, restrictions, easements, rights, charges, liens, assessments and encumbrances running with the land and binding upon the real property and all parts thereof. The parties in interest thereto and their heirs, assigns, personal representatives and successors in interest by accepting an interest in and to any portion of the properties, shall constitute an agreement by such person, or entity accepting same, that they and each of them shall be bound and subject to the provisions of the Declaration, whether or not any reference to the Declaration is contained in the instruments by which such person or entity acquired an interest in said property.

4.8 Expenses and Attorneys' Fees. In the event that any party set forth in subsection 4.5 shall bring any suit or action to enforce the provisions of this Declaration, the successful party to such suit or action shall be entitled to recover all costs and expenses incurred by said party in connection with such suit or action, including such amount as the court may determine to be reasonable as Attorneys' Fees at trial and upon any appeal thereof.

4.9 Rights of Mortgagees. No breach of the provisions of this Declaration or amendments shall defeat or render invalid the lien of any Mortgage or Deed of Trust now or hereafter executed upon the subject land; provided that if any portion of the properties is sold under a foreclosure of any Mortgage or under the provisions of any Deed of Trust, any purchaser at such sale and his successors, assigns and heirs shall hold any and all property so purchased subject to all of said provisions.

DATED this 17 day of October, 1985.

HELLER FINANCIAL, INC., formerly known as Walter E. Heller & Company, a Delaware corporation

By _____

Its Vice President

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To reference only, not for re-sale.

Acknowledged by and consented to:

HEATH INVESTMENTS, INC.,
a Washington corporation

By Richard S. Heath
Its Pres.

202/28C1/101585

UNOFFICIAL DOCUMENT

For reference only, not for re-sale.

STATE OF WASHINGTON)
) ss.
COUNTY OF KING)

On this day personally appeared before me Paul Chapman, to me known to be the Vice President of HELLER FINANCIAL, INC., the corporation that executed the within and foregoing instrument, and acknowledged said instrument to be the free and voluntary act and deed of said corporation, for the uses and purposes therein mentioned, and on oath stated that he was authorized to execute said instrument.

WITNESS my hand and official seal hereto affixed on October 17, 1985.

Notary Public in and for the State of Washington, residing at Seattle

STATE OF WASHINGTON)
) ss.
COUNTY OF PIERCE)

On this day personally appeared before me Richard B. Heath, to me known to be the President of HEATH INVESTMENTS, INC., the corporation that executed the within and foregoing instrument, and acknowledged said instrument to be the free and voluntary act and deed of said corporation, for the uses and purposes therein mentioned, and on oath stated that they were authorized to execute said instrument.

WITNESS my hand and official seal hereto affixed on October 18, 1985.

Notary Public in and for the State of Washington, residing at Tacoma

202/28C1/101585

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Acknowledged and Approved:

Tacoma/Pierce County Health Department

By Greg L Gruenfelder
Its Supervisor, Water + Waste Section

RECORDED
85 OCT 18 P2:33
RICHARD A. GREGO AUDITOR
PIERCE COUNTY WASH
BY DEPUTY

STATE OF WASHINGTON)
) ss.
COUNTY OF Pierce)

On this 18th day of October, 1985, before me personally appeared Greg L Gruenfelder, to me known to be the Supervisor Water&Waste of the Tacoma/Pierce County Health Department, the entity that executed the within and foregoing instrument, and acknowledged the said instrument to be the free and voluntary act and deed of said entity, for the uses and purposes therein mentioned, and on oath stated that he was authorized to execute said instrument.

IN WITNESS WHEREOF, I have hereunto set my hand and affixed my official seal the day and year first above written.

Nancy J. Klepert
NOTARY PUBLIC in and for the State of Washington, residing at Tacoma Pierce County.

For reference only, not for re-sale.

Unofficial Document

EXHIBIT A

Lots 226-232, inclusive, 246-252, inclusive, and 255 and 256, in SPRINGFIELD as per plat recorded under Auditor's File No. 8011260320, records of Pierce County.

Situate in the County of Pierce, State of Washington.

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